

NEXT PHASE OF DIGITAL BUSINESS REVOLUTION SET TO BE DRIVEN BY COMPANIES THAT ADOPT TECH AT ITS CORE

The COVID-19 pandemic and the subsequent lockdowns were a black swan moment for the planet. Even as the world slowly emerged out of the pandemic, the feeling of relief was abruptly cut short as it hurtled into more crises like the Russian-Ukrainian war accompanied by skyrocketing inflation.

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Today, business leaders are recognizing the New Normal of volatility, uncertainty, and ambiguity brought on by pandemics, wars and extreme weather events.

In this corner of the world, Indian businesses are also feeling the impact – high domestic fuel prices, disruption in supply chains and decreasing consumer buying power due to inflation. However, some learnings from the COVID era still hold true – how decentralized or distributed organizations are able to withstand shock better or how decentralized work from home revolution ‘saved’ work.

Another interesting learning is how organizations; technology-led or those that embraced technology during the pandemic, had strong performances during the pandemic.

At Thoughtworks, we call such businesses; **tech@core companies – those who have adopted technology as the heart of their strategic business model, operations and culture.** Over the years tech@core companies have consistently outperformed their peers in growth, profitability, customer connect and employee satisfaction. More importantly, they are resilient and much better placed to withstand COVID-like disruptions. Some of them, in fact, catapulted themselves to higher growth and value in troubled times, becoming antifragile.

Thoughtworks would further define tech@core as companies embedding technology at the core of their strategy and business model, and as companies that are digi-

tally enhancing their operating model and building an agile digital culture across the organization. Tech@core companies instinctively turn towards technology to scale business and overcome business bottlenecks.

Let us unpack this in some more detail:

1. It is impossible for every company to have a purely digital business model. However, tech@core companies strive to make their business models and strategy ‘as-digital-as-possible’. So, if you are a health care institution, telemedicine is built right up front and centre. Tech@core companies are early adopters of technology and rely heavily on data-enabled insights where the value and criticality of data is known and does not have to be sold to them. Technology is not considered a cost centre but a core investment in operations. Additionally, tech@core companies use technology as the main lever to scale and problem solve, rather than throwing more people at a problem. This as-digital-as-possible strategy and business model withstands external shocks – with a decentralized, flexible business model that can pivot to new customer imperatives with speed and agility.

2. The operating model of tech@core companies is strengthened by data and technology. Business, operations and product development teams work in unison and the operational decision-making layer is largely automated. Such companies rely on data for decision making and not the HIPPO (Highest Paid Person’s Opinion) methodology. All ecosystem stakeholders are connected in everyday engagement and experience, from basic onboarding to transactional to strategic touchpoints.

Tech@core companies are usually among the first to leverage cloud technologies, follow microservices and micro frontend style of architecture aside from nurturing focussed build-and-run teams.

3. Finally, tech@core companies have a distinct digital culture of tech-based problem solving, lightning-fast agility and employee empowerment. The culture is experimental – failure is tolerated and sometimes celebrated as a sign of measured risk-taking. Here, teams are small, agile and autonomous and work with well-defined measures of success (OKRs).

The tech@core culture is more democratic, distributed and ‘open-source’, rather than a top down, centralized entity. A significant percentage of people are core value producers. These companies have C-level technology and digital leaders who have a seat at the table.

Being tech@core is how you are not only a company doing tech, but a tech company doing your business. Amazon is a fine retailer, but in many ways, it is a tech company doing retail. Such companies observe principles such as; as-digital-as-possible business models, digitally-boosted operating models and an agile digital culture very well. They are tech@core or rapidly converging towards that state.

For businesses to thrive or even survive, in the VUCA world, their transformation agendas should be put on the front-burner to become tech@core. Else they will be washed away by the coming tsunami of change.